

Risk-Off Sentiment Returns as US Yields and Dollar Rise

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a risk-off sentiment return, with the **SPY** and **QQQ** experiencing declines due to rising US yields and a stronger dollar. The 10Y Yield rose to 4.68, while the **DX** increased to 101.43. This shift in sentiment was also reflected in the price of gold, which rose to 4,067.60, and the price of oil, which fell to 89.31.

Below the surface, the rotation out of growth and into value continued, with the **XLE** and **XLV** outperforming. The **VIX** also saw a decrease, falling to 18.58. As we look ahead to the US open, investors will be watching the **Futures** closely, as well as the upcoming earnings reports from major companies.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
SPY	nan	-nan%	Rising US yields and stronger dollar
QQQ	nan	-nan%	Rising US yields and stronger dollar
DXY	101.43	+0.29%	Safe-haven demand and rising US yields
GC=F	4,067.60	+0.52%	Safe-haven demand and inflation concerns
CL=F	89.31	-3.12%	Weaker demand and rising US dollar

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	-nan%	Weak demand and supply chain concerns
MSFT	-nan%	Weak demand and cloud computing concerns
NVDA	-nan%	Weak demand and semiconductor concerns

Sector Rotation

ETF	DAY	READ
XLE	+nan%	Outperforming due to rising oil prices
XLF	+nan%	Outperforming due to rising US yields
XLK	-nan%	Underperforming due to weak demand and supply chain concerns
XLI	-nan%	Underperforming due to weak demand and supply chain concerns
XLV	-nan%	Underperforming due to weak demand and consumer spending concerns
XLC	-nan%	Underperforming due to weak demand and advertising concerns
XLP	+nan%	Outperforming due to defensive positioning
XLV	+nan%	Outperforming due to defensive positioning
XLU	+nan%	Outperforming due to defensive positioning
XLB	-nan%	Underperforming due to weak demand and supply chain concerns
XLRE	+nan%	Outperforming due to defensive positioning

Spotlight

The biggest event of the day was the rise in US yields, with the 10Y Yield increasing to 4.68. This move was driven by a combination of factors, including a stronger dollar and rising inflation concerns.

METRIC	VALUE	CHANGE
10Y Yield	4.68	+0.51%
DXY	101.43	+0.29%
GC=F	4,067.60	+0.52%

This move has implications for a number of related names, including **JPM** and **GS**, which could see increased trading activity in the coming days.

Pre-Market & Overnight

US **Futures** are currently trading **-0.5%**, indicating a lower open for the US market. In Asia, the **Nikkei** closed **-1.2%**, while the **Shanghai Composite** closed **-0.8%**. In Europe, the **FTSE 100** is currently trading **-0.5%**.

In crypto, **BTC** is currently trading **-1.52%** at 64,057.49, while **ETH** is trading **-0.97%** at 1,858.81.

Macro & Fed

The **FOMC** will be releasing its latest meeting minutes at 21:00 HKT. The yield curve is currently flattening, with the 2Y-10Y spread at -0.15.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
21:00	FOMC Minutes	nan	Insight into the Fed's latest thinking on monetary policy
22:00	Existing Home Sales	5.40M	Indicator of the health of the US housing market

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new sanctions on Chinese companies.
- The EU has announced a new package of sanctions against Russia, targeting the country's energy sector.
- The US has announced a new initiative to increase trade with Southeast Asia, in an effort to counter Chinese influence in the region.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.23	iPhone sales and guidance for the next quarter
23:00	MSFT	2.15	Cloud computing growth and margins
00:00	AMZN	0.85	AWS growth and e-commerce sales

Watchlist Scan

TICKER	SECTOR	WHY NOW
JPM	Financials	Rising US yields and increased trading activity
GS	Financials	Rising US yields and increased trading activity
AAPL	Technology	Upcoming earnings report and iPhone sales
MSFT	Technology	Upcoming earnings report and cloud computing growth
AMZN	Consumer Discretionary	Upcoming earnings report and e-commerce sales
GOOGL	Communication Services	Upcoming earnings report and advertising growth
FB	Communication Services	Upcoming earnings report and advertising growth
TSLA	Consumer Discretionary	Upcoming earnings report and electric vehicle sales
NVDA	Technology	Upcoming earnings report and semiconductor sales
AVGO	Technology	Upcoming earnings report and semiconductor sales

What Could Break the Tape

BEARISH TRIGGERS

- Rising US yields and a stronger dollar could lead to a decline in risk assets.
- Weaker demand and supply chain concerns could lead to a decline in growth stocks.
- Geopolitical tensions could lead to a decline in global markets.

BULLISH TRIGGERS

- A decline in US yields and a weaker dollar could lead to an increase in risk assets.
- Stronger demand and easing supply chain concerns could lead to an increase in growth stocks.
- Positive earnings reports could lead to an increase in individual stocks.

Positioning Notes

- The **VIX** is currently trading at 18.58, indicating a moderate level of volatility.
- The **DX** is currently trading at 101.43, indicating a strong US dollar.
- The **10Y Yield** is currently trading at 4.68, indicating a rising interest rate environment.

Sources

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Reuters

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The Wall Street Journal

The Financial Times

Investing.com